UNIT 3: CONSOLIDATED STATEMENT OF FINANCIAL POSITION

SESSION 4: PREPARATION OF CONSOLIDATED STATEMENT OF FINANCIAL POSITION

In this session we focus on practising the basic preparation and presentation of consolidated statement of financial position without the intra-group transactions and balances.

Objective

At the end of this session, you should be able to prepare consolidated statement of financial position involving a parent and a subsidiary, with focus on consolidation procedure one and two.

Consolidation Procedure One and Two

Let us start by recalling the consolidation procedure one and two which are the focus of this session. Always remember consolidation is about the three consolidation procedure.

1) Combine/Add assets and liabilities of Parent and Subsidiary.
2) Eliminate the parent cost of investment again its share of the equity (net assets) of the subsidiary.

Note that in procedure one, we add assets and liabilities and not equity. The reason is because we are learning to prepare consolidated statement of financial position. The elements for this statement are assets, liabilities and equity. The reason we do not add equity is because of procedure two, where we eliminate cost of investment against the subsidiary's net assets. If done correctly, then the subsidiary's equity will no longer exist in the books to be added. The group equity is from the parent's perspective.

When preparing consolidated statement of financial position, set up the workings based on the following basic steps:

Step 1 Determine the control/group structure
Step 2 Determine the net assets of subsidiary at acquisition date and at reporting date. This then leads to ascertainment of post-acquisition retained earnings/ post-acquisition reserves
Step 3 Determine the goodwill on acquisition (or gain from bargain purchase)
Step 4 Determine the NCI balance at the reporting date
Step 5 Determine the consolidated retained earnings at the reporting date (GRE)

You may continue to add up steps depending on the adjustments required in the question, but the five steps are the basic minimum workings.
Use the figures from the workings to prepare the consolidated statement of financial position.

The following illustrations should help you gain understanding of putting consolidated statement of financial position together.

Illustration 1

Ghana Ltd, in its quest to gain dominance in the oil palm industry, acquired 112,500 of the ordinary shares of Accra Ltd on 1 January 2024. The market price of Accra Ltd's share just before the date of the acquisition was GH¢ 1.60. Ghana Ltd adopts the policy of fair valuing NCI. Goodwill is not impaired.

The separate financial statements of Ghana Ltd and Accra Ltd at 31 December 2024 were as follows:

	Ghana Ltd	Accra Ltd
	GH¢'000	GH¢'000
PPE	180	150
Shares in Accra Ltd	204	
	---	---
	384	150
Net Current Assets	126	75
	---	---
	510	225
	===	====
Share Capital (ordinary shares issued at GH¢1)	300	150
Retained Earnings	210	75
	---	---
	510	225
	====	====

The Statements of Changes in Equity (extract for Retained Earnings) for the year ended 31 December 2024 were as follows

	Ghana Ltd	Accra Ltd
	GH¢'000	GH¢'000
Retained Earnings as at 31 December 2023	180	45
Profit for the year	50	40
Dividend Paid	(20)	(10)
	---	---
Retained Earnings as at 31 December 2024	210	75
	====	====

Required

Prepare Consolidated Statement of Financial Position (CSoFP) as at 31 December 2024 for Ghana Ltd Group.

Solution 1

Consolidated Statement of Financial Position as at 31 December 2024

Non – Current Assets	GH¢'000
PPE (180+150)	330

Goodwill (w3)	69

	399
Net Current Assets (126+75)	201

Net Assets	600
	====
Share Capital	300
Group Retained Earnings (w.5)	232.5

	532.5
Non- Controlling Interest (w.4)	67.5

	600
	=====

Workings (all figures in GH¢'000)

W.1 Group structure

Ghana	[112,500/150,000]	75%
NCI	[32,500/150,000]	25%

W.2 Net Asset of Accra

	At acquisition	At reporting date
Share capital	150	150
Retained earnings	45	75
	---	---
	195	225
	===	===
Post-acquisition retained earnings [225-195]		30
		===

W.3 Goodwill

Consideration transferred		204
Fair valuation of NCI at acquisition	(37.5 X GH¢1.60)	60

		264
Less total net assets at acquisition (W2)		(195)

Goodwill		69
		=====

An alternative calculation

Goodwill attributable to Group

Consideration transferred	204

Net worth of Accra acquired

Stated capital	150
Pre-acquisition retained earnings	45

	--- 195 ===	
Group's share (75% of 195)		146.25

Goodwill		57.75
		=====
Goodwill attributable to NCI		
Fair valuation of NCI (150 x 25% X GH¢1.60)		60
NCI share of Net Worth at acquisition (25% of 195)		48.75

Goodwill		11.25
		====
Total goodwill		69.0
		====
W.4 **NCI at Year End**		
Fair value at acquisition		60.00
Add: share of post-acquisition retained earnings 25% of[75-45](25%x30)		7.50

		67.50
		====
OR		
Share of Net Asset of Accra (25% of 225)		56.25
Add: Attributable Goodwill		11.25

		67.50
		=====
W.5 **Consolidated Retained Earnings**		
Ghana: Balance b/f (Parent 100%)		210
Accra: Parent's share of Post-acquisition retained profit 75% of (75- 45) (25%x30)		22.5

		232.5
		====

Illustration 2

Goaso Brewery Limited (GBL) acquired 2 million equity shares in Ayomso Brewery Ltd (ABL) on 1 January 2023, on which date the retained earnings of ABL stood at GH¢300,000. The agreed consideration was GH¢1.5 million cash and a further GH¢600,000 on 1 January 2025. If ABL attained certain profit targets. GBL's cost of capital is 15%. The draft statements of financial position of GBL and ABL on 31 December 2023 were as follows:

	GBL GH¢'000	ABL GH¢'000
Non-Current Assets		
PPE	2,500	2,000
Investment in ABL shares at cost	1,500	
	4,000	2,000
Current Assets		
Inventory	150	400
Receivables	800	350
Owings by GBL		500
Cash and Cash Equivalents	100	-
	1,050	1,250
Current Liabilities		
Owed to ABL	400	
Trade Payables	500	350
	900	350
Net Assets	4,150	2,900
Share Capital-Ordinary shares @ GH¢0.50	2,250	1,250
Revaluation Reserve	600	250
Retained Earnings	1,300	1,400
	4,150	2,900

Additional Information:

i) ABL has an internally developed brand 'Aboso' which was valued at GH¢250,000 at the date of acquisition. There have been no changes in the share capital or revaluation surplus of ABL since GBL gained control. At 31 December, 2023, ABL had invoiced GBL for transfer of malt (a basic raw material for brewing) to the value of GH¢100,000 which had not been received by GBL.

(ii) There is no impairment of goodwill. It is the group's policy to value non-controlling interest at full fair value. At the acquisition date, the non-controlling interest was valued at GH¢450,000.

Required: Prepare the CSoFP of GBL Group as at 31 December 2023

Solution 2
GBL Group
Consolidated Statement of Financial Position as at 31 December 2023

	GH¢'000	GH¢'000
Non- Current Assets		
PPE (2500+2000)		4,500
Intangible Assets: Goodwill [W.3]		353.6
Brand name		250

		5,103.6
Current Assets		
Inventories (250+400)	650	
Receivables (800+350)	1,150	
Cash and cash equivalent	100	

	1,900	

Current Liabilities		
Trade Payables (500+350)	850	
Contingent consideration [W.3]	522	

	1,372	

Net Current Assets		528

		5,631.6
		======
Share Capital		2,250
Revaluation Reserve		600
Retained Earnings [W.5]		2,111.6

		4,961.6
Non-Controlling Interest [W.4]		670

		5,631.6

Workings (all figures in GH¢'000)

W.1 Group structure

GBL	[2 million/2.5million]	80%
NCI	[0.5 million/2.5 million]	20%

W.2 Net Asset of ABL

	At acquisition	At reporting date
Stated capital	1,250	1,250
Revaluation surplus	250	250
Retained earnings	300	1,400
Internally generated brand	250	250
	---	---
	2,050	3,150
	====	====
Post acquisition retained earnings [3,150-2,050]		1,100

	====

W.3 Goodwill

Cost of investment	
Cash paid	1,500
Contingent consideration	
600 x 0.756*(disc factor at 15% for 2 years)	453.6

	1,953.6
Fair value of NC1 at acquisition	450

	2,403.6
Net assets of ABL at acquisition	(2,050)

Goodwill	353.6
	======

At the date of the current financial statement, 31 December 2023, the discount for one year has unwound. The amount of the discount unwound is

(600 X .870*) – (600 x 0.756*) = 522 – 453.6 = 68.4 **or** 15% of 453.6 = 68.4

W.4 NCI at reporting date

Fair value at acquisition	450
Share of post-acquisition retained profit	
(20% of 1,400 – 300)	220

	670
	====

W.5 Consolidated Retained Earnings

GBL Bal b/f	1300
Less Discount Unwound (W.3)	(68.4)
ABL 80% of [1100 (W.2)]	880

	2,111.6
	=====

Illustration 3

You are given the following information about the two entities – Ho and Dome.

- Four years ago, Ho acquired 80% of the shares in Dome when its retained earnings were GH¢1,000,000.
- At the date of acquisition, the fair values of the Dome's net assets were equal to their carrying amounts.
- Ho has a policy of accounting for NCI at acquisition at fair value and this is given as GH¢5,000,000.
- No goodwill had previously been impaired. Dome is considered a cash generating unit with a recoverable amount of GH¢4,600,000 at the reporting date.

Below are the summarised statements of financial position of the two entities:

Statement of Financial Position as at 31 December 2025

	HO	DOME
Assets	**GH¢**	**GH¢**
Non-current assets		
Tangible	2,000,000	2,000,000
Investment in Dome	3,500,000	
Current assets		
Inventory	2,800,000	4,000,000
Receivables	3,200,000	2,000,000
Cash at bank	2,500,000	4,000,000
Total Assets	**14,000,000**	**12,000,000**
Equity and Liabilities		
Equity		
Ordinary share capital (GH¢1)	3,200,000	1,000,000
Retained Earnings	4,800,000	2,000,000
Liabilities		
Non-current liabilities	2,000,000	5,000,000
Current liabilities	4,000,000	4,000,000
Total Equity and Liabilities	**14,000,000**	**12,000,000**

Required: Prepare the consolidated statement of financial position as at 31 December 2025.

Solution 3

Ho Group
Consolidated Statement of Financial Position as at 31 December 2025

	GH¢'000
Goodwill W3)	1,600
Tangible assets - (2,000+2,000)	4,000
Current Assets	
Inventory (2,800+4,000)	6,800
Receivables (3,200+2,000)	5,200
Cash (2,500+4,000)	6,500
Total Assets	**24,100**
Equity and Liabilities	
Ordinary shares (GH₵ 1)	3,200
Group Retained Earnings (W5)	1,680
Non-controlling Interest (W4)	4,220
Non-current Liabilities (2,000+5,000)	7,000

Current liabilities (4,000+4,000)	8,000
Total Equity and Liabilities	**24,100**

Workings - Ho Group

1. Structure

Parent = 80%: NCI = 20%

Consolidation period 4 Years

2. Net assets of Subsidiary - Dome	**At Acquisition GH¢'000**	**At Reporting GH¢'000**
Share capital	1,000	1,000
Retained earnings	1,000	2,000
Total Net Assets	**2,000**	**3,000**
Post-acquisition profit (3,000-2,000)	1,000	

3. Calculation Goodwill - NCI at Fair Value	
Cost of investment	3,500
Fair value of NCI	5,000
Total Net Assets Acquired (NAA)	(2,000)
Goodwill at acquisition date	**6,500**
Goodwill at reporting date	**(4,900)**
	1,600
Impairment testing of Subsidiary Dome	
Net assets at reporting	3,000
Goodwill at fair value	6,500
Carrying value of subsidiary	9,500
Recoverable amount	4,600
Impairment loss (CV greater than RA)	**4,900**

4. Non-controlling Interest - (NCI)	
Fair value of NCI at acquisition	5,000
Share of post-acquisition profit (20% x 1,000)	200
Share of impairment (20% x 4,900)	(980)
Value of NCI at reporting date	4,220

5. Group Retained Earnings - (GRE)	
Parent 100% retained earnings	4,800
Share of post-acquisition profit (80% x 1,000)	800
Share of impairment loss-80% x 4,900	(3,920)
Value of GRE at reporting date to Conso SFP	**1,680**

Illustration 4

The following information are available on Paris and its subsidiary South.

	Paris GH¢'000	South GH¢'000
Assets		
Property Plant and Equipment	5,500	1,500
Investment in South	1,000	
Inventory	550	100
Receivables	400	200
Cash	200	50
Total Assets	**7,650**	**1,850**
Equity and Liabilities		
Share Capital	2,000	500
Retained Earnings	1,400	300
Non-current Liabilities	3,000	400
Current Liabilities	1,250	650
Total Equity and Liabilities	**7,650**	**1,850**

Further information:

- Paris acquired 80% of the share capital of South two years ago, when the reserves of South stood at GH¢125,000.
- Paris paid initial cash consideration of GH¢1 million.
- Additionally, Paris issued 200,000 shares with a nominal value of GH¢1 and a current market value of GH¢1.80.
- It was also agreed that Paris would pay a further GH¢500,000 in three years' time. Current interest rates are 10% pa. The appropriate discount factor for GH¢1 receivable three years from now is 0.751. The shares and deferred consideration have not yet been recorded.
- At acquisition the fair values of South's plant exceeded its book value by GH¢200,000. The plant had a remaining useful life of five years at this date.
- For many years South has been selling some of its products under the brand name of 'Mintfresh'. At the date of acquisition, the directors of Paris valued this brand at GH¢250,000 with a remaining life of 10 years. The brand is not included in South's statement of financial position.
- The consolidated goodwill has been impaired by GH¢258,000.
- The Paris Group values the non-controlling interest using the fair value method. At the date of acquisition, the fair value of the 20% non-controlling interest was GH¢380,000.

Required: Prepare the consolidated financial statements at 31 December, 2025.

Workings - Paris Group

1. Structure = Paris=80% NCI = 20%

Consolidation period = 2 years

2. Net Assets -South	**At Acqui Date GH¢**	**At Rep Date GH¢**
Share capital	500,000	500,000
Retained earnings	125,000	300,000
Fair value-Plant	200,000	200,000
FV-Depreciation of plant -200,000/5x2		(80,000)
Fair value - Brand	250,000	250,000
FV-Amortisation - 250,000/10x2		(50,000)
Total Net Assets	**1,075,000**	**1,120,000**
PAP (1,120k-1,075)	**45,000**	

3. Calculation of Goodwill	
Cost of investment	
Cash	1,000,000
Share issued - 200,000xGH¢1.8	360,000
Def Cons - 500,000x.751	375,500
	1,735,500
Fair v of NCI	380,000
Total Net Asset at acquisition	(1,075,000)
Goodwill at acquisition	**1,040,500**
Impairment	**(258,000)**
Goodwill at reporting date	**782,500**

4. Non-controlling interest	
Fair value of NCI	380,000
Share of Post-acqui profits-20%x45,000	9,000
Share of impairment - 20%x258,000	(51,600)
NCI value at reporting date	**337,400**

5. Group Retained earnings	
Parent 100%	1,400,000
Share PAP-80%x45,000	36,000
Share impair-80%x258,000	(206,400)
Fin cost from Def cons	(78,855)
GRE at reporting date	**1,150,745**

Paris Group
Consolidated Statement of Financial Position as at 31 December 2025

	GH¢'000
Assets	
Non-current assets	
Property Plant and Equipment (5,500k+1,500k+200k-80k)	7,120,000
Goodwill (W3)	782,500
Brand (250k-50k)	200,000
Current assets	
Inventory (550k+100k)	650,000
Receivables (400k+200k)	600,000
Cash (200k+50k)	250,000
Total Assets	**9,602,500**
Equity and Liabilities	
Equity	
Share Capital (2,000+200k)	2,200,000
Share Premium (200k*GH¢0.80)	160,000
Group Retained Earnings (W5)	1,150,745
Non-controlling interest (W4)	337,400
Liabilities	
Non-current Liabilities (3,000k+400k)	3,400,000
Current Liabilities (1,250k+650k+375.5+78.855)	2,354,355
Total Equity and Liabilities	**9,602,500**

Explanatory Notes

- The consolidation period is two years – that is reflected in the fair value adjustments in W2.
- There is deferred consideration that was present valued – W3. Note the unwinding of interest for two years in W5 and also reflected in current liabilities.
- Share issued at market price of GH¢1.80. the nominal value is GH¢1, therefore there is premium of GH¢.80, recognised in share premium account.